port at Thoothukkudi (Tamil Nadu) through PPP at an estimated cost of Rs 7,500 crore.

A **power transmission** system will be constructed from Srinagar to Leh and for this Rs. 226 crore have been provided in 2013-14. The oil and gas exploration policy will be reviewed to move from profit sharing to revenue sharing contracts. A policy to encourage exploration and production of shale gas will be announced. The natural gas pricing policy will be reviewed and uncertainties regarding pricing will be removed.

To provide greater support to Micro, Small and Medium Enterprises (MSMEs), the refinancing capability of **SIDBI** is proposed to be enhanced from Rs. 5,000 crore to Rs. 10,000 crore per year. SIDBI will also be provided a corpus of Rs 500 crore to set up a Credit Guarantee Fund for factoring. Apparel Parks are proposed to be set up within the Integrated Textile Parks, to house apparel manufacturing units. A new scheme, **IPDS** (Integrated Processing Developing Scheme), is being started to address to environmental concerns of the textile industry. Working capital and term loans to the **handloom** sector will be available at a concessional interest of 6 per cent. This will benefit 1.5 lakh weavers and 1,800 primary co-operative societies.

Savings

The Budget proposes three measures to promote household savings. One, the income limit for **RGESS** (Rajiv Gandhi Equity Saving Scheme) for first time investors is being raised from Rs. 10 lakh to Rs. 12 lakh. Two, persons taking loan for first home up to Rs 25 lakh will be entitled to an additional deduction of interest of up to Rs 1 lakh. Three, instruments such as Inflation Indexed Bonds will be introduced to protect savings from inflation.

Financial Sector

The Budget has proposed to constitute a Standing Council of Experts in the Ministry of Finance to analyse the *international competitiveness* of the *Indian financial sector*. The Finance Minister announced that Rs. 14,000 crore worth of capital infusion will be made into public sector banks. It will be ensured that these banks meet the **Basel III** regulations.